

your price range. Private loans typically come with higher interest rates or variable interest rates, which means the interest rate can change over time. The website mentioned earlier, www.student-debtcrisis.org, is full of stories of people who were allowed to borrow way too much money from a private lender and are now stuck paying unimaginable amounts of money toward a debt they will likely never pay off. For example, I have a friend who has \$350,000 in student loan debt at 6.8% interest. Unfortunately this person, who gave me permission to summarize his story here, is not a doctor or a lawyer and has a relatively low salary. The monthly interest alone on that debt is \$1,983 a month. If he pays \$2,000 a month on that amount, only \$17 goes toward the \$350,000 he owes, and the rest is eaten up by interest.

Community Colleges

Community colleges are a fantastic option for many students. High school graduates are often unsure if a four-year university is right for them. Some may be accepted into a four-year school, but realize after enrolling that they didn't make the best choice. Then they may feel forced to finish because they have already taken out hefty loans, among other reasons. If you are feeling unsure about your college options, community colleges can offer many advantages:

They are much cheaper. Compared with the huge price tags of most four-year schools, community colleges only charge an average of \$3,730 per year for in-state students.¹⁶ Additionally,

16 "Trends in College Pricing 2019," Collegeboard, November 2019, <https://research.collegeboard.org/pdf/trends-college-pricing-2019-full-report.pdf>.